Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid impact that government legislation may have on *Can Culleretes* in the context of *Can Culleretes.* • The chefs may need to be retrained to stay up to date with new health and safety regulations **(1)** **NB:** Do not accept an impact that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Can Culleretes* might add value to its business. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Can Culleretes* might add value in the context of *Can Culleretes.* • *Can Culleretes* can use high quality organic vegetables in its Mediterranean food **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** method a business could use to encourage repeat purchase of its products **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a method a business could use to encourage repeat purchase of its products, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Issue loyalty cards **(1)** which could be used to offer special discounts **(1)** leading to customers being motivated to return to the business rather than its competitors **(1)** NB Answers that list three methods with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** disadvantage of using personal savings as a source of finance for a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using personal savings as a source of finance, plus 2 further marks for explaining this disadvantage, for a maximum of 3 marks. • Money to deal with an emergency may not be available **(1)** so there is no backup if things go wrong **(1)** meaning that it may be necessary to find another source of finance **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** benefit for a business of motivating its employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of motivating employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Retention of employees **(1)** avoids spending time and money on recruitment **(1)** allowing the business to concentrate elsewhere **(1)** NB Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	*Can Culleretes* is looking to improve its revenue and is considering two options. Option 1: increase advertising Option 2: opening for breakfast. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – An increase in advertising can reach new customers and tourists visiting Barcelona • **Option 2** – By opening for breakfast Montserrat and Alicia can attract existing and new customers **AO3** • **Option 1** – This method can improve its revenue by drawing in new customers who may not have heard the restaurant before • **Option 2** – This method may make the restaurant stand out as it is offering something it has not done before in its long history **AO4** • **Option 1** – However, it depends on the method of advertising as it can be expensive so although revenue may improve it will be a cost for the business • **Option 2** – However, as it is only a small restaurant they may need to employ more staff as well but this could lead to an increase in costs	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why motivating and keeping staff matters

Answer 1 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term **non-current assets.** Answer	Mark

Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *Huawei* paying its employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Huawei* and not move to a competitor such as Samsung to earn additional money **(1)** • Employees are less likely to take time off from making smartphones if they are paid well and will stay more committed to *Huawei* **(1)** • **Accept any other appropriate response.**	**(1)**

Question Number	State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Huawei* would want to keep its customers loyal in the context of the business. • Loyal customers will return to *Huawei* when they need to upgrade their smartphones **(1)** • *Huawei* want its customers to return and purchase other products such as its tablets **(1)** **Accept any other appropriate response.**	**(1)**

4BS1 02 November 2021

Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why having good public relations is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark why good public relations is important to a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By a business having good public relations means it is likely to improve its brand image **(1).** This could lead to increased sales and **(1)** overall profitability **(1)** NB No marks are awarded for a definition. Answers that list three reasons why good public relations are important to a business with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** benefit of being a multinational business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a benefit of being a multinational business, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Multinationals operate globally **(1).** So, if the sales are low in one country this can be offset by high sales in another country **(1)** thus, thereby spreading the risk for the business **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why secondary research would be used by a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why secondary research would be of interest to a business, plus 2 further marks for explaining why it would be of interest to a business, for a maximum of 3 marks. • Secondary research already exists and is available **(1)** this can save a business a great deal of time and effort in collecting such information **(1).** The information can then be used to help the business to further develop its products or gain information on other businesses **(1)** NB Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	**Option 1:** financial **Option 2:** non-financial. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees such as bonus payments, piece rates, employees will remain productive • **Option 2** – If *Huawei* offers non-financial benefits such as job enrichment employees are more likely to enjoy working at the *Huawei* and feel motivated **AO3** • **Option 1** – Employees are more likely to stay with *Huawei* than move to another business • **Option 2** – Employees will gain new skills and feel valued by *Huawei*, which may help them gain promotion such as becoming a supervisor of a group of staff assembling tablets or watches **AO4** • **Option 1** – However, employees may not be interested in bonus payments if they are assembling tablets and they do not meet the targets set therefore not getting the additional wage • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to remain producing smartphones and would prefer to have additional wages in their payslips so that they can pay their bills	**(9)**

4BS1 02 November 2021

Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

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Type MS · Why motivating and keeping staff matters

Answer 2 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Define the term **revenue**. **Answer**	Mark

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	**(1)**

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	**(1)**

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	**(1)**

Question Number	Define the term **personal savings.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Why motivating and keeping staff matters

Answer 3 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Why motivating and keeping staff matters

Answer 4 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	**Mark**

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid advantage for *PPS* of customer loyalty • Customers will be more likely to try the overnight accommodation for their pets if they have been pleased with the pet grooming service **(1)** **NB** Do not accept an advantage that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *PPS* motivates its employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *PPS* motivates its employees • As the employees are motivated in what they are doing the dogs staying overnight will receive good care **(1)** **NB** Do not accept a reason that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** impact on a business of ineffective communication. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact to a business of ineffective communication, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • This can create misunderstanding between owners and employees **(1)** as employees may not be clear of what they are supposed to be doing **(1)** and this could lead to errors being made **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage to a business of having a decentralised organisation. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having a decentralised organisation, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • The business can react to changes quicker **(1)** because they do not need to run decisions through many layers **(1)** leading to decisions being made that meet the needs of local customers **(1)** **NB** Answers that list three advantage with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit to a business of using seasonal employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a benefit of using seasonal employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • This gives the business flexibility with its workforce **(1)** by having more employees at busier times **(1)** allowing them to meet the demands of customers at certain times of the year **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*PPS* is looking to improve its revenue and is considering two options. Option 1: trial a new brand of dog food in the shop Option 2: sponsor a local dog show. Justify which one of these two options *PPS* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – trialling a new brand of dog food will appeal to dog owners who regularly purchase dog food from *PPS* • **Option 2** – sponsoring a local dog show will promote *PPS*'s products such as dog collars **AO3** • **Option 1** – This method can bring in more revenue as it is a product they are known for selling and if customers like it then they will buy more of that dog food • **Option 2** – This may draw customers into the shop and could lead to an increase in revenue **AO4** • **Option 1** – However, if customers are used to buying a particular dog food brand they may not want to try a new brand • **Option 2** – However, it does cost to sponsor an event so *PPS* would need to incur cost upfront before they gain an increase in revenue from this method	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why motivating and keeping staff matters

Answer 5 of 14 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why motivating and keeping staff matters

Answer 6 of 14 · Question 1 part d · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price **D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	**Additional guidance**	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Why motivating and keeping staff matters

Answer 7 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why motivating and keeping staff matters

Answer 8 of 14 · Question 1 part d · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark

Type MS · Why motivating and keeping staff matters

Answer 9 of 14 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid benefit in the context of the business. • *Yellow* attract more customers who want to design their own shirt **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for valid way *Yellow* could carry out market research in the context of the business. • *Yellow* could ask questions of customers in its shops **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a benefit of retaining staff, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • If staff stay with the business it means that there is consistency **(1).** It means that employees gain knowledge of the products they are selling **(1)** and they can pass this information on to customers **(1).** Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 9 of 14 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business using targeted advertising online, plus 2 further marks for explaining the advantage for a maximum of 3 marks. • A business can target a wider audience **(1)** because it is worldwide and 24/7 **(1)** and is a relatively cheap method of advertising to traditional methods **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for identification of a reason why cash flow forecasts are important, plus 2 further marks for explaining the importance for a maximum of 3 marks. • It allows the business to predict its future inflow and outflows **(1).** It knows whether it can survive or not **(1)** and whether it has sufficient funds to keep trading **(1).** Answers that list three reasons why a cash flow forecast is important with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 9 of 14 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** AO2 • **Option 1** – Full-time staff means fewer employees in each store. • **Option 2** – Part-time staff offer flexibility in the hours they work in each store. AO3 • **Option 1** – Full-time staff provide consistency, commitment and loyalty. • **Option 2** – Part-time staff have the flexibility to meet the demand of longer shop hours or busy periods. AO4 • **Option 1** – Costs may be increased because they have to be paid regardless of demand in the stores. • **Option 2** – Higher recruitment costs because part-time staff may be less committed to *Yellow.*	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 9 of 14 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Why motivating and keeping staff matters

Answer 9 of 14 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *LEGO* wants to maintain its market share in the toy sector **(1)** • By achieving financial security, it allows *LEGO* to provide employment for its 18,000 employees **(1)** **NB** Do not accept if the objective is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *LEGO* does not recruit casual employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *LEGO* do not employ casual employees in the context of the business. • Casual employees may not have the commitment to ensuring that the art materials they produce are of the high standard set by *LEGO* **(1)** • Casual employees may take longer to understand how the Harry Potter games are labelled and packed ready for despatch **(1)** **NB** Do not accept a reason that is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why a business would pay its employees above the minimum wage. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark why a business would pay its employees above the minimum wage, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Paying above the minimum wage will encourage more employees to work at a business **(1)** as they could be paid more than at a competitor **(1)** and they are likely to stay with the business because of the payment they receive **(1)** • Employees will feel more rewarded because of the pay they receive **(1)** and this could increase their motivation at work **(1)** and also improve their productivity **(1)** NB No marks are awarded for a definition. Answers that list three reasons why a business would pay above minimum wage with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why product trials are important to a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why product trials are important, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Gain customer feedback on a new product **(1)** identify strength/weaknesses/problems **(1)** which can then be addressed before the product enters the wider market **(1)** • By offering a customer a three month trial on electronic games **(1)** the customer can find out if they like the games **(1)** and if they do, they may a purchase the game console **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why a business complies with health and safety legislation. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for identification why a business complies with health and safety legislation plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business does not comply with the laws given by the country **(1)** they could be fined/sued if there was an accident or someone was injured **(1)** and the business could be fined/closed down for not complying with the legislation **(1)** • It ensures all staff are protected against injuries **(1)** meaning less days are lots to illness **(1)** and reducing the need to get in temporary cover saving costs **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	**Option 1:** cost plus **Option 2:** skimming. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1 –** This is easy to apply and *LEGO* will know that the cost of manufacturing the Princess Leia toy is covered when sold • **Option 2 -** This means that the new Princess Leia toy is sold at a high price when it is released **AO3** • **Option 1** – As each new toy is sold *LEGO* will know that it is making a profit on each sale • **Option 2** - As each toy is sold it will have a high profit margin, if only a few toys are sold the profits would still be high because they know that as Star Wars toys are popular and will sell **AO4** • **Option 1** - However, even though this pricing strategy guarantees a profit, there is no guarantee that the toys will be sold as customer may wait until the price falls • **Option 2** - However, this strategy might limit the number of potential customers wanting to buy the product as the price is too high.	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Why motivating and keeping staff matters

Answer 10 of 14 · Question 2 part c · 3 marks

2022 JUN · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Define the term **delegation**. **Answer**	Mark

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of inventory • Inventory is the goods a business has for sale **(1)**	**(1)**

Question Number	Outline **one** method that *TBTS* might use to respond to greater competition. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a method *TBTS* may use to stand out against increased competition, plus 1 further mark for linking it to the context of the question • *TBTS* could increase its advertising **(1)** to show how environmentally friendly they are compared to competitors **(1)** **NB** Do not accept a method that is not in the context of *TBTS* **Accept any other appropriate response**	**(2)**

Question Number	Calculate the current ratio for 2021. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 216 000/36 000 **(1)** 6 **(1)**	Award 1 mark for correctly substituting numbers into formula Award full marks for correct numerical answer without working	**(2)**

Type MS · Why motivating and keeping staff matters

Answer 11 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Analyse the importance of *TBTS* motivating its employees. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *TBTS* has motivated employees it can better meet the needs of customers who want to buy toys • If *TBTS* does not have motivated employees it could lead to lower sales of its toys **AO3** • The employees will be happier working there and will be more willing to answer any customer queries • Less motivated employees can lead to a reduction in productivity making it harder for *TBTS* to achieve any goals they may have	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why motivating and keeping staff matters

Answer 11 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** hand out questionnaires to customers that visit the shops **Option 2:** hold focus group meetings with parents and their children. Justify which **one** of these two options *TBTS* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using questionnaires *TBTS* can get feedback directly from customers who buy the toys on behalf of children • **Option 2** – *TBTS* can use the focus groups to observe children playing with the new range of toys **AO3** • **Option 1** – *TBTS* can get detailed feedback from the customers to see what elements are important to them when they make a decision to buy a particular toy • **Option 2** – Employees from *TBTS* can recall how the children play with the toys and their reaction **AO4** • **Option 1** – However, as *TBTS* have shops in busy locations like airports people may not have the time to fill in the questionnaires or may rush it therefore not giving them accurate feedback to help them with the launch of the new range of toys • **Option 2** – However, the responses from the children may not be valid as they are in a new setting and may find other things more interesting than the toys but this does not mean they would not play with the toys at home	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 11 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 11 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate the total cost to a VIP member of buying 17 dinosaur toys. **Answer**	**Additional guidance**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

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Type MS · Why motivating and keeping staff matters

Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part g in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

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Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

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Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part g in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part g in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Why motivating and keeping staff matters

Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part g in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Why motivating and keeping staff matters

Answer 12 of 14 · Question 1 part g · 6 marks

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part g in this mark scheme extract

Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Why motivating and keeping staff matters

Answer 13 of 14 · Question 1 part g · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why motivating and keeping staff matters

Answer 13 of 14 · Question 1 part g · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why motivating and keeping staff matters

Answer 13 of 14 · Question 1 part g · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why motivating and keeping staff matters

Answer 13 of 14 · Question 1 part g · 6 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	**Mark**

Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **net cash flow.** • Difference between cash/money coming into the business and the cash/money going out of the business in a given period of time **(1)**	**(1)**

Question Number	Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one possible reason why prospective employees at *Premier Inn* complete an application form, plus 1 further mark for a point of development. For two marks the answer must be in the context of the business. • *Premier Inn* can see if the employee has the skills and knowledge of working in the reception area **(1)** which will reduce the amount of training needed **(1)** **NB** Do not accept a possible reason that is not in the context of *Premier Inn.* **Accept any other appropriate response.**	**(2)**

Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime? **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 91.62 **(2)** **Or** 1 mark for workings if correct answer not given 15.27 x 6 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits for *Premier Inn* of motivating its employees. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **<u>AO2</u>** • If *Premier Inn* motivates its employees, it means that they will be more likely to provide a better service to customers staying at the hotel • If the employees are not motivated, then they are likely to make errors when booking customers into their allocated rooms **<u>AO3</u>** • Employees who are happy at work would be more willing to carry out additional duties if required • Less motivated employees can lead to a reduction in customers using the hotel again, making it harder for *Premier Inn* to achieve any targets they may have	**(6)**

Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	**Option 1:** internal recruitment from within *Premier Inn* hotels around the world **Option 2:** external recruitment, by using an employment agency. Justify which **one** of these two options *Premier Inn* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By appointing an internal employee to organise the reception area of the hotel, they will have experience of how the hotel works • **Option 2** – By appointing externally using an agency provides the opportunity to bring in additional skills of marketing the *Premier Inn* business **AO3** • **Option 1** – As the employee is known to the business together with their skills and knowledge, they will know if they are capable of carrying out the new job • **Option 2** – There may be a wide variety of people applying for the vacancy. This provides a wide choice which the agency can then reduce to a list of potential employees with the right skills **AO4** • **Option 1** – However, if the employee does move to take on the new job the old job may have to be filled and this could mean more expense • **Option 2** – However, the new employee may not fit in with the other employees in the business, which could cause problems within the work environment	**(9)**

Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Why motivating and keeping staff matters

Answer 14 of 14 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the current ratio in 2022. You are advised to show your working. **Answer**	Additional guidance	Mark